U.S. economy is only involved in less than 15 percent of global trade flows. Of the 70 major raw material price series (tracked by the IMF), only five are not denominated in U.S. dollars. Some 53 percent of international bank borrowing is financed in U.S. dollars, and around 64 percent of identified official foreign reserves are held in U.S. dollar assets.[149]

Whether these developments will have larger geoeconomic ramifications depends on whether other factors discussed at the beginning of this chapter will also cause the greenback to slide from its dominant position. Some political economists contend that there is only an economic, not a political, gain from invoicing in the home currency and that a larger role for the RMB at the expense of the U.S. dollar, if that develops, will increase transaction costs and diminish rents, but not affect U.S. autonomy or policy influence.[150] Even if they are wrong, China's leaders seem inclined to try to achieve this, and according to Cohen, "its ambition to 'manufacture' a top currency seems nakedly clear."[151]

It is not simply that "great powers have great currencies," as Robert Mundell observed.[152] Rather, as Barry Eichengreen argues, "It is not obvious why the dollar, the currency of an economy that no longer accounts for a majority of the world's industrial production, should be used to invoice and settle a majority of the world's international transactions."[153] The BRICS seek a diversified system of multiple reserve currencies. However, the third role of international money, as a store of value, is the area where the RMB falls short the most.[154] China's capital account is not yet sufficiently liberalized, and its financial markets are not yet sufficiently deep and liquid or anchored in a transparent rule of law system that breeds the trust that investors and other governments demand.[155]

As the IMF's inclusion of the RMB in SDRs and these other developments show, China's currency does not need to become fully convertible first for internationalization to progress. Premier Li Keqiang reemphasized in his March 2015 report to the National People's Congress that "China will achieve renminbi convertibility under the capital account." Meanwhile, People's Bank of China (PBOC) governor Zhou Xiaochuan later said that China is committed to liberalizing its capital account but plans a "concept of managed convertibility" instead of the "traditional concept of being fully or freely convertible," suggesting some uncertainty about how far the government is prepared to go in loosening controls over the RMB.[156] Regardless of the details, it is premature to look to the RMB as a serious global challenger to the U.S. dollar as a safe-haven currency.

These processes and institutions for expanding the roles of Chinese currency have intertwined domestic and international objectives, but not smoothly.[157] Battles in China between reformers and supporters of Chinese-style state capitalism also reflect concerns about political risks and party control. This is especially so as the economy shifts more to the private sector and increases scope for consumption, and the authorities reduce wasteful investment, unwind local government debt and shadow banking, and transition to a more modern, sustainable development path.[158] Reducing the state control of the financial sector goes hand in hand with rebalancing, which allows greater market influence in determining the value of the currency. In turn, this process lays the foundation for China to own a major international currency and become a global player in international finance.[159] The bumps and shocks in the road are numerous, as evidenced by the Chinese authorities' struggle to reduce capital controls when outflows surged over recurring fears of currency devaluation.

Although the other BRICS have supported the international use of the RMB and an expansion of SDRs with emerging market currencies, the IMF's decision to include the Chinese currency as a reserve has stimulated some competitive envy. Many experts and commentators in India, observing the rise of the redback and China's lobbying for it to join the SDR basket, have become energized to dream about the day when the rupee also becomes a major global currency. Raghuram Rajan, then-governor of the Reserve Bank of India (RBI), discounted any "big bang," suggesting that internationalization of the rupee would be an incremental process over many years. However, India is already moving to settle bilateral deals in rupees, developing its own currency swap agreements, and encouraging foreign investors to buy Indian bonds. The RBI has also relaxed rules for firms to issue rupee-denominated offshore debt, creating a market for so-called masala bonds (not without disputes over pricing and taxes) that mimics China's initial use of panda bonds. Although India faces its own share of obstacles to overcome and differs from China, which industrialized its economy with an undervalued exchange rate, the logic of financial market development and FDI should also follow from its large and growing economy.[160]

Secure in its leading position among the BRICS, the Chinese government has steadily promoted the RMB's international use by helping to increase the liquidity or currency availability and ease of use through offshore centers approved to clear transactions. By the middle of 2015, the PBOC had signed currency swap agreements with authorities in 33 countries and regions and the European Central Bank, reflecting the fact that the European Union's second-largest export market is China. With specific reference to the BRICS, China has supplemented its